

SECTION – B: STRATEGIC MANAGEMENT

Question paper comprises of **4** questions, Answer Question No. **5** which is compulsory and any **2** out of the remaining **3** questions.

Question 5

- (a) *SemiCon Pvt. Ltd. (SPL) is engaged in manufacturing of semiconductors from the year 2024. Company wants to start a strategic path to be followed in future so as to build best quality semiconductor and display design with innovative ecosystem to enable India's emergence as a global hub for electronics manufacturing in a more structured manner. Placing core values as its priority, it would like to clearly articulate its aspirations to the stakeholders with a guiding beacon to keep inspiring its workforce.*

Identify and explain one of the components of strategic intent which will help indicate towards above stated intentions. Why such component is important for a successful organization? Also state the essentials of such component.

(1 + 1 + 1 + 2 = 5 Marks)

- (b) *In addition to new market opportunities and change in customer preferences, as a known fact, technology is also changing very fast. In view of the same, 'Twaran', having a small and mid-sized business wants to use latest digital technologies for improved procedures and products. The primary aim of the firm is to have a competitive edge in the evolving business landscape by digital transformation. The entity would like to deal with regular changes firmly, along with transforming its management techniques.*

Identify the strategy required for digital transformation. Also state the most preferred practices to be followed by the entity.

(1 + 4 = 5 Marks)

- (c) *MaAi is a prominent group of companies. Currently it has businesses named Alpha, Bravo, Charlie and Delta. In year 2020, the company had acquired a business dealing in product 'Nota'. In evaluating the contribution to its portfolio, it was observed that product 'Nota', is not contributing as it was expected rather causing a financial duress. After identifying apparent problem area, in the year 2023, an emphasis was placed on change in management and improvement in internal efficiency. However, on further evaluation in the year 2024, it was observed that even*

after due emphasis, positive outcome is not there and in-turn the company decided to get rid-of the business related to product 'Nota'.

*Identify the retrenchment strategies followed by the company for product 'Nota' (i) in the year 2023 (ii) in the year 2024. Also state various reasons to adopt the strategy by any organization, as followed in the year 2024 for product 'Nota'.
(1 + 1 + 3 = 5 Marks)*

Answer

- (a) The component of strategic intent that best indicates the company's future aspirations is the Vision.

A Vision implies the blue print of the company's future position that outlines what an organization aspires to become in the long term. It reflects management's aspirations and serves as a guiding beacon for strategic decision-making by shaping the product-market-customer-technology focus of the business.

A strategic vision is important because -

- it provides a clear sense of direction, helping the organization focus its resources and efforts toward defined long-term goals.
- it serves as a source of alignment and inspiration for stakeholders—including employees, customers and investors—by communicating the overarching purpose and aspirations of the business.
- it shapes the organization's identity and culture, encouraging unity and collective motivation to achieve shared objectives.

Essentials of a Strategic Vision:

- It involves creative foresight to prepare the company for future challenges and opportunities.
- It is an exercise in intelligent entrepreneurship not merely operational planning.
- It creates enthusiasm and emotional engagement among organizational members.
- It is clearly worded to illuminate the organization's strategic direction.

- (b) To enable successful digital transformation, the appropriate strategy for 'Twaran' is a Change Management Strategy. It is essential to effectively manage the organizational, procedural and cultural changes brought about by the adoption of new digital technologies.

Following are the five best practices for managing change in small and medium-sized businesses are:

1. **Begin at the top:** Change should be initiated and driven by a unified, focused leadership. A committed top management can create and promote a culture that inspires the organization to embrace change.
 2. **Ensure that the change is both necessary and desired:** Before initiating digital transformation, decision-makers must understand its necessity and long-term impact. Without a proper strategy, introducing too much change too quickly can be counterproductive.
 3. **Reduce disruption:** It is essential to minimize employee disruption during transformation. This can be done by:
 - Communicating changes early.
 - Equipping employees with tools and training.
 - Empowering change agents like project managers.
 - Involving IT teams proactively.
 - Creating an environment conducive to change.
 4. **Encourage communication:** Promote open and continuous two-way communication. This ensures that employees feel heard and involved and that concerns are addressed timely. Effective communication also promotes innovation and collaboration across departments.
 5. **Recognize that change is the norm, not the exception:** Businesses must treat change as a continuous process, not a one-time project. Being change-ready helps the organization to adapt, sustain performance and stay aligned with evolving customer expectations.
- (c) In 2023, MaAi adopted a Turnaround Strategy. This is evident from their emphasis on change in management and improvement in internal efficiency which are key features of a turnaround strategy.

In 2024, MaAi decided to get rid of the business related to product 'Nota', which clearly indicates a Divestment Strategy. Divestment is adopted when "A turnaround has been attempted but has proved to be unsuccessful." This exactly matches the situation – despite a turnaround attempt in 2023, the business continued to underperform, leading to divestment in 2024.

Reasons for adopting a Divestment Strategy in 2024:

- **Mismatch with core business:** The business acquired in 2020 dealing in 'Nota' may have proved to be a mismatch and could not be integrated well within the MaAi group structure.
- **Persistent negative cash flows:** Continued financial duress indicates persistent negative cash flows, which create a burden on the entire group.
- **Failure of turnaround efforts:** Despite changes in management and efforts for internal efficiency, no positive outcome was achieved, fulfilling the condition where turnaround attempts prove unsuccessful.
- **Better alternative for investment:** The company may have better options for redeploying resources, prompting the divestment of this underperforming business.
- **Inability to cope with competition or technological upgrade:** If 'Nota' required significant technological upgrades or faced intense competition and MaAi was unable or unwilling to invest further, divestment would be a prudent strategic exit.

Question 6

- (a) *Explain the importance of values, as one of the components of strategic intent for a company. What are the common examples of values? How values are different from intent?* **(3 + 1 + 1 = 5 Marks)**
- (b) *In order to get better performance and sustainable competitive advantages, a company has to focus on the characteristics of its resources and capabilities. In view of this, explain the major characteristics of resources and capabilities.* **(5 Marks)**

Answer

- (a) Values are fundamental principles or standards that guide the behaviour and decision-making of individuals and organizations. They are at the core of strategic intent and help define a company's culture and ethical posture.

A company's values set the tone for how people think and behave, especially in situations involving dilemmas. They create a sense of shared purpose, enabling all stakeholders to align and focus on the long-term success of the company.

Values have both internal and external implications:

- **Internally**, they influence employee behaviour, build trust, boost morale and help in creating a consistent workplace culture.
- **Externally**, they impact how customers, investors and society at large perceive the company. A majority of consumers prefer companies whose values reflect their own belief systems.

Some common organizational values include Integrity, Trust, Accountability, Humility, Innovation and Diversity.

Values and Intent are two distinct concepts:

- Intent refers to the purpose of doing business – the long-term direction the company aims to pursue.
- Values are the principles and ethical standards that guide how decisions are made and how the business is conducted.

While they go hand-in-hand, values often drive intent. Therefore, values are broader and more foundational than intent.

- (b) To achieve better performance and sustainable competitive advantage, a company must focus on the four major characteristics of its resources and capabilities which determine the sustainability of its competitive advantage:
- (i) **Durability:** Durability refers to how long the firm's resources and capabilities remain effective before they deteriorate or become obsolete.

For example, in industries with rapid product innovation, such as technology, patents may quickly become outdated. In contrast, strong brand names often possess a high degree of durability, contributing to sustained competitive advantage.

- (ii) Transferability:** Transferability determines how easily a competitor can acquire or replicate the resources and capabilities. If key resources and capabilities can be easily transferred between firms (such as through hiring key personnel or acquiring technology), the competitive advantage is less sustainable. The more difficult it is for rivals to gain access to similar resources, the more sustainable the advantage.
- (iii) Imitability:** This refers to how easily competitors can imitate or develop the same resources and capabilities. If imitation requires complex processes, organizational routines or is dependent on a firm's unique corporate culture, it becomes difficult to replicate. For instance, in financial services, where innovations are not legally protected, imitation is easier, reducing sustainability.
- (iv) Appropriability:** Appropriability refers to the ability of the firm's owners to appropriate the returns on its resource base. Even where resources and capabilities are capable of offering sustainable advantage, there is an issue as to who receives the returns on these resources.

Question 7

- (a) *What do you mean by value chain analysis? Delineate the support activities in value chain analysis, as stated by Michael Porter. (1 + 4 = 5 Marks)*
- (b) *Explain differentiation strategy as one of the generic strategies by Michael Porter. What are the major bases of differentiation? Also outline the strategies which can help achieve the differentiation strategy.*

(1 + 2 + 2 = 5 Marks)

Answer

- (a)** Value chain analysis is a strategic tool used to examine each business activity to determine how it adds value, helping firms improve efficiency, identify cost-saving opportunities and gain competitive advantage through better coordination and performance of internal processes.

Support Activities in Value Chain Analysis (Michael Porter)

Michael Porter identified four main categories of support activities that support the primary activities and help the organization achieve competitive advantage:

1. **Procurement:** Refers to the processes involved in acquiring the various resource inputs needed for the primary activities. It focuses on how resources are sourced rather than the resources themselves. Procurement occurs across many parts of the organization.
 2. **Technology Development:** Every value activity has an associated technology or know-how. This includes R&D, product design, process development and improvements in resources such as raw materials. Technology development enhances the efficiency and effectiveness of value activities.
 3. **Human Resource Management:** This area spans across all primary activities and involves recruiting, managing, training, developing and rewarding employees. Effective HR management is vital for ensuring that the organization has the right people to perform its activities successfully.
 4. **Infrastructure:** Infrastructure consists of the systems and routines that support the entire organization, including planning, finance, quality control, information management and organizational culture. It sustains and coordinates primary and support activities and is crucial for overall organizational performance.
- (b) Differentiation strategy focuses on offering unique products or services to a broad market, allowing firms to stand out from competitors and charge premium prices. Uniqueness can stem from design, features, technology or service.

Major Bases of Differentiation include:

- **Product:** Innovative or new products that cater to customer needs can give a competitive edge. Though expensive in terms of R&D and marketing, they attract customers.
- **Pricing:** Pricing can be used as a differentiator—either through low prices or premium pricing backed by product superiority.

- **Organisation:** Organisational advantages like brand strength, location or customer loyalty can be used for differentiation.

Strategies to Achieve Differentiation: To achieve differentiation, a firm may adopt the following strategies:

1. Offer utility to customers and match products with their tastes and preferences.
2. Elevate product performance.
3. Provide high-quality products/services to ensure buyer satisfaction.
4. Engage in rapid product innovation to meet changing demands.
5. Enhance brand image and brand value.
6. Fix product prices considering product uniqueness and customers' buying capacity.

Question 8

- (a) *What do you mean by Key Success Factors (KSF)? Structure the questions, answer to which can help identify KSFs of a company. Also state, as to how the understanding can help ascertain sustainable competitive advantages.*

(1 + 2 + 2 = 5 Marks)

- (b) *Explain in brief the expansion strategy as one of the corporate strategy. Also state the characteristics of expansion strategy.* **(1 + 4 = 5 Marks)**

OR

"A manager as a strategic leader has to play many leadership roles", while explaining the statement in brief, delineate the leadership roles which a manager has to play in pushing for a good strategy execution.

(1 + 4 = 5 Marks)

Answer

- (a) Key Success Factors (KSFs) are those factors that most significantly impact an industry member's ability to succeed in the marketplace. These include strategic elements, product attributes, resources, competencies, capabilities and outcomes that determine whether a firm achieves profitability and competitive success. In other words, KSFs are the prerequisites for success in an industry.

Questions to Identify KSFs: To identify the KSFs of a company, managers should seek answers to the following structured questions:

- On what basis do customers choose between the competing brands of sellers?
- What resources and competitive capabilities are necessary to be successful?
- What does it take to achieve a sustainable competitive advantage?

A company that accurately understands the industry's KSFs can tailor its strategy to focus on excelling in these critical areas. By being distinctively better than competitors on one or more key success factors, the company can gain a sustainable competitive advantage. Misjudging the importance of KSFs, on the other hand, can lead to a misdirected strategy and competitive failure. Thus, aligning the company's efforts with the industry's KSFs increases the likelihood of long-term success and stronger market position.

- (b) An Expansion Strategy (also called Growth Strategy) is a corporate-level strategy where a business redefines its scope by enlarging its operations and significantly increasing its investment. This strategy symbolizes dynamism, vigour, promise and success. It involves major initiatives such as entering new markets, adopting new technologies, launching new products and making fresh investments. Expansion strategy often involves pursuing ambitious growth, which can be risky yet rewarding.

Characteristics of Expansion Strategy

1. **Redefinition of Business Scope:** The strategy involves a fundamental reshaping of the corporation's business operations by exploring new areas, markets and technologies.
2. **High Risk – High Reward Nature:** Unlike stability strategy, expansion is characterized by high risks but also potentially high rewards. It is suited for firms willing to take bold steps for growth.

3. **Facilitates Business Growth:** It is a key strategy for firms aiming at substantial business growth, helping them to meet large-scale ambitions.
4. **Drives Renewal through Investment:** Expansion enables the **renewal of the firm** through fresh investments in new businesses, products and markets.
5. **Versatile Strategy with Multiple Growth Routes:** The strategy is flexible and versatile, allowing firms to design growth through various permutations in products, markets and functions. It encompasses two major routes:
 - **Intensification** – Growth in existing business areas.
 - **Diversification** – Growth through entry into new business areas.

Or

Strategic leadership refers to the manager's ability to anticipate, envision, maintain flexibility and empower others to create strategic change as necessitated by external conditions. A manager as a strategic leader is responsible for setting the firm's direction, formulating and implementing strategies and ensuring that the organization moves towards achieving its strategic goals. To achieve this, the manager must play multiple leadership roles such as visionary, strategist, administrator, culture builder and motivator.

Managers have five leadership roles to play in pushing for good strategy execution:

1. **Staying on top of the execution process:** Monitoring progress, resolving emerging issues and understanding obstacles in the way of effective execution.
2. **Promoting a culture of *esprit de corps*:** Nurturing unity, teamwork and high morale to mobilize and energize employees for effective strategy implementation.

3. **Keeping the organization responsive and innovative:** Ensuring the firm remains adaptive to changes, alert to new opportunities and ahead of rivals in developing competencies.
4. **Exercising ethical leadership:** Insisting that the company behaves ethically and acts as a model corporate citizen.
5. **Pushing corrective actions:** Taking necessary corrective measures to overcome execution problems and improve overall strategic performance.

These roles help managers drive strategy execution effectively while maintaining integrity, adaptability and performance.